- Modern industries barely compensated for the displacement of traditional handicrafts.
- In 1939 only 2 million were employed in industries (population 389 m.)
- A virtual absence of ***capital*** or ***producers goods*** industry – relying almost wholly on imported machinry and tools (89.8 per cent).
- Banking and insurance grossly underdeveloped. Without simultaneous industrialisation, the growth of *railways* further colonised India and they served the British cause.
- Till 1930s, foreign capital dominated after 1918 – giant MNCs entered (Unilever, Imperial Chemical Industries, Dunlop and GM).

Foreign capital did 'drain' capital from India in place of promoting investment, we may see the *three* chief features:

(i) Contributed to 'the guided underdevelopment of India by concentrating on the production and export of raw materials and food stuffs.

(ii) Focused the sectors which catered to foreign markets and not to India's home market.

(iii) The 'multiplier effects' in terms of income, employment, capital, etc. were largely exported back to the developed countries.

Overall, industries were during encouraged the colonial rule but for the service to the colonial interests, not India – just a tool to drain out wealth, from India.

Q. 37 'Financial development facilitates real economic growth'. In the light of the statement discuss the situation of bond market in India.

Ans. The *Economic Survey 2011-12* raises its concerns for weak 'bond market' in India with this statement of the Australian economist Schumpeter- the issue was raised by the last *Economic Survey*, too. And the latest ***Economic Survey 2012-13*** has also recommended for its strengthening. The Survey highlights the passages from the latest research which prove the idea that to propel economic growth it is necessary to put a